A Step By Step Guide To Start Trading

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Before investing in listed investment products, you need to open a brokerage trading account with any securities broking firm to deposit or sell your stocks and securities.

You can choose to:

1. Open a cash trading account with a securities broking	Transactions on your stocks and securities listed on Singapore Exchange (SGX) will be deposited to your CDP. In other words,

firm and link it to a Central Depository (CDP) Account	purchases of your stocks and securities listed on SGX that you have purchased will be deposited into this account. It serves as safe keeping of your stocks and securities you have purchased. This account also provides integrated clearing, settlement and depository functions for account holders. After you have opened your trading account, you can place your order for stocks and securities transactions through the securities broking firm that you open the trading accounts with.
2. Open a sub-account with a securities broking firm	You can choose to have your stocks and securities purchased to be held under a nominee account of the securities broking firm. All transactions will have to go through the securities broking firm where you have opened the trading account with.

You buy and sell orders for shares and other types of securities are submitted through a securities broking firm. If the trade is executed, you pay a commission either to the firm or its dealer.

Securities broking firms provide traditional broker-assisted services as well as online trading platforms for self-trade.

These are the 10 securities broking firms who are members of the Singapore Exchange which you can choose from:

- CGS-CIMB Securities International Pte. Ltd.
- DBS Vickers Securities
- iFAST Financial Pte. Ltd.
- KGI Securities (Singapore) Pte. Ltd.
- Lim & Tan Securities Pte. Ltd.
- Maybank Kim Eng
- OCBC Securities
- Philip Securities Pte. Ltd.
- RHB Securities Singapore Pte. Ltd.
- UOB Kay Hian

What You Will Need To Apply For A Trading Account

Singaporean/ Singapore Permanent Resident	Foreigner
• Completed Trading Account Application Form • Completed CDP Linkage Form • Copy of NRIC • Copy of 11B and Passport	• Completed Trading Account Application Form • Completed CDP Linkage Form • Copy of IC or Passport • Copy of supporting document

[For NSF]

- Copy of supporting document reflecting your name and residential/ mailing address

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How To Open A CDP Account

Before opening a CDP account, you must ensure that you fulfill certain eligibility criteria:

- Have a savings or current bank account with one of the following banks: Citibank, DBS/ POSB, HSBC, Maybank, OCBC, Standard Chartered Bank, UOB
- Be 18 years old and above
- Are not an un-discharged bankrupt

When you are signing up online, you will need to provide:

1. A soft copy of either your Identity Card or passport, or 11B and passport [for NSF]
2. Any of the following; dated within the last three months:

- Bank statement from any of the MAS licensed banks;
- Central Provident Fund (CPF) statement; or
- Latest Notice of Assessment of your personal income tax.

Receiving Dividend Payments And Cash Entitlements

CDP credits dividend payments or other cash distributions directly into your designated bank account.

You need to set up your designated bank account if you want to receive your dividends or cash distributions on schedule. Otherwise, these amounts will be reflected in your CDP statements but the funds will not reach you.

You can set up your designated bank account by:

1. Calling 6535 7511 (Select your language option, then Option 5)

You will need:

- Identification number
- CDP account number
- Bank account number

2. Visiting SGX Investor Portal

You will need:

- CDP Internet account
- Bank account number

Dividends or cash distributions in foreign currencies will be automatically

converted to SGD before they are credited to you.

How Can I Start Trading?

Once you have set up an account with your preferred securities broking firm, they will link up your trading account to your CDP account. Once your trading account has been successfully linked (which may take up to two weeks), you will be able to start trading.

Customer Account Review (CAR) And Customer Knowledge Assessment (CKA)

Specified Investment Products (SIPs) are complex investment products. If you wish to trade in listed SIPs, your securities broking firm has to conduct a Customer Account Review (CAR) to ascertain whether you have the relevant knowledge or experience to understand the risks and features of such complex product structures or derivatives before you are allowed to trade.

For trading in unlisted SIPs, you are required to pass the Customer Knowledge Assessment (CKA). This assessment is a requirement by Monetary Authority of Singapore (MAS) for you to have the relevant knowledge or experience to understand the risks and features of the unlisted SIPs. Your securities broking firm will require you to produce your CKA assessment results.

MAS has put in these measures to protect you and safeguard your interests. Find out more on CKA at the ABS website.

Remember, do not invest in products that you do not understand.

Get Started With Investing
Investing is a key part of your overall financial plan. Get an introduction to the basics of investing, including concepts such as setting investment goals and objectives, risk-return trade-offs as well as diversification and asset allocation.
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